The role of the leadership is to have a situational awareness of *the organization*. What is the role of the organization? How are we faring today? What new information has come in? How should we respond to this information? The leadership knows the mandate of the organization, looks at the daily flow of information, and continually takes management decisions that reshape the organization so as to better respond to events in a way that ultimately delivers better on the mandate.

We have low state capacity when there is no leadership that thinks in this fashion, when the organization has a fixed budget year after year, and the organization is impervious to information. There are no feedback loops, and the organization has stopped thinking.

The law that establishes an agency should clearly establish its leadership and governance. There must be strong MIS, which feed information to the board, which must have a majority of independent directors, and also control the organization design. This will help prevent the organization from collapsing into slumber.

Containing discretion

In India, we have swung between extremes of executive discretion and executive paralysis. On one hand, in many parts of the Indian state, there is remarkable and excessive executive discretion. At the same time, in many parts of the Indian state, there is now a fear of making decisions which has slowed down routine work. Government museums are unable to acquire works of art as they fear the use of discretion in their purchases.

These two phenomena are closely interconnected. In any liberal democracy, there is a fundamental lack of legitimacy of an executive that possesses extreme discretion. When the basic rules of the game support extreme executive discretion, in time, a backlash develops and then we get snarled in CAG, Central Bureau of Investigation (CBI), Central Vigilance Commission (CVC) or Central Information Commission (CIC). It is ironic